Rubrik (RBRK)
Cyber Resilience Platform

Rubrik screens as a Hold with a $108.00 blended target, 6% below the current price.

Analyst: Justin Wen

HOLD	$108.00	-6%	$114.59
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Cyber Resilience Platform. Data protection repositioned as cyber recovery. $1.66B subscription ARR (+33%) with cloud ARR at 89% of the base and NRR above 119% [10-Q Q2 FY27]. Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight. Fair Price, Not Cheap. At $112.41 [Mkt 17-Oct-26], the DCF base of $105.25 implies -6.4% downside and the market prices in 36% CAGR. It is the cheapest growth-ad

The latest print

Profitability Inflection. FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53. Rule of 40 is in sight.

Fair Price, Not Cheap. At $112.41, the DCF base of $105.25 implies -6.4% downside and the market prices in 36% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain.

$1.66B	$427.3M	>119%	3,084	14.0%	$65.7M
SUBSCRIPTION ARR (Q2 FY27)	REVENUE (Q2 FY27)	NET RETENTION RATE	CUSTOMERS $100K+ ARR	ARR CONTRIBUTION MARGIN (TTM)	FREE CASH FLOW (Q2 FY27)

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Rubrik, Inc. valuation framework

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Subscription ARR (Q2 FY27)	$1.66B	+33%	Up
Revenue (Q2 FY27)	$427.3M	+38% (+43% normalized)	Up
Net Retention Rate	>119%	vs >120% prior year	Flat
Customers $100K+ ARR	3,084	+23%	Up
ARR Contribution Margin (TTM)	14.0%	+4.6 pts (from 9.4%)	Up
Free Cash Flow (Q2 FY27)	$65.7M	vs $57.5M prior year	Up
FY2027 Revenue Guide	$1.685-1.693B	+28%	Up
FY2027 FCF Guide	$323-333M	19.4% margin at midpoint	Up

The moat

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

The growth engine

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-35 CAGR	2035 REVENUE	2035 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	15.0%	$5.36B	25.0%	**$74.37**	-35%
Base	50%	17.8%	$6.78B	28.0%	**$105.42**	-8%
Bull	25%	20.5%	$8.53B	30.0%	**$146.80**	+28%

Bear: downside case at $74.37 (-35%).

Base: central case at $105.42 (-8%).

Bull: upside case at $146.80 (+28%).

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The probability-blended target implies 6% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -6% from the $114.59 reference price.

$108.00
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$1.32B**
Valuation horizon	**2026-2035**
Live WACC	**9.32%**
Terminal growth	**3.0%**
Net cash	**$620M**
2035 FCF (Base)	**$2.81B**
10-year Treasury yield	**5.1%**
Beta	**1.14**
Equity risk premium	**3.7%**

HOLD | $108.00 blended target | Wen

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 36.9%. Verdict vs scenarios

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$0.0B	$28.70	+20%	$0.0B	$62.71	+40%	$0.0B	$127.24
+1%	$0.0B	$29.89	+21%	$0.0B	$65.08	+41%	$0.0B	$131.55
+2%	$0.0B	$31.12	+22%	$0.0B	$67.54	+42%	$0.0B	$135.99
+3%	$0.0B	$32.40	+23%	$0.0B	$70.07	+43%	$0.0B	$140.55
+4%	$0.0B	$33.73	+24%	$0.0B	$72.69	+44%	$0.0B	$145.24
+5%	$0.0B	$35.10	+25%	$0.0B	$75.39	+45%	$0.0B	$150.06
+6%	$0.0B	$36.53	+26%	$0.0B	$78.17	+46%	$0.0B	$155.00
+7%	$0.0B	$38.01	+27%	$0.0B	$81.04	+47%	$0.0B	$160.09
+8%	$0.0B	$39.54	+28%	$0.0B	$84.00	+48%	$0.0B	$165.31
+9%	$0.0B	$41.13	+29%	$0.0B	$87.05	+49%	$0.0B	$170.67
+10%	$0.0B	$42.78	+30%	$0.0B	$90.19	+50%	$0.0B	$176.17
+11%	$0.0B	$44.48	+31%	$0.0B	$93.43	+51%	$0.0B	$181.82
+12%	$0.0B	$46.24	+32%	$0.0B	$96.77	+52%	$0.0B	$187.61
+13%	$0.0B	$48.07	+33%	$0.0B	$100.20	+53%	$0.0B	$193.56
+14%	$0.0B	$49.96	+34%	$0.0B	$103.74	+54%	$0.0B	$199.66
+15%	$0.0B	$51.91	+35%	$0.0B	$107.38	+55%	$0.0B	$205.92
+16%	$0.0B	$53.93	+36%	$0.0B	$111.13	+56%	$0.0B	$212.34
+17%	$0.0B	$56.02	**+37%**	**$0.0B**	**$114.99**	+57%	$0.0B	$218.92
+18%	$0.0B	$58.17	+38%	$0.0B	$118.96	+58%	$0.0B	$225.67
+19%	$0.0B	$60.40	+39%	$0.0B	$123.04			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$18.06B	15.0x	3.0%	$620M	$18.68B	**$74.37**
Base	$25.87B	20.0x	3.0%	$620M	$26.49B	**$105.42**
Bull	$36.26B	25.0x	3.0%	$620M	$36.88B	**$146.80**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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Rubrik, Inc. valuation framework

SCENARIO	2026	2026	2027	2028	2029	2030	2031	2032	2033	203
Bear	$81.30	$81.30	$87.09	$92.83	$98.35	$103.46	$107.96	$111.69	$114.49	$116.2
Base	$115.25	$115.25	$124.18	$133.24	$142.20	$150.80	$158.76	$165.82	$171.74	$176.3
Bull	$160.48	$160.48	$173.59	$187.10	$200.72	$214.11	$226.90	$238.72	$249.23	$258.1

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $108.00 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2

Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions

Security products now drive 40% of net retention, up from 32% a year ago

Remaining performance obligations $2.62B, up 29.5% YoY, with 53% to recognize in 12 months

Revenue and margin trend

METRIC	FY24	FY25	FY26	TTM
Revenue	n/a	$886.5M	$1.316B	$1.542B
Gross Margin (non-GAAP)	n/a	77.4%	81.5%	81.0%
Subscription ARR	n/a	n/a	$1.46B	$1.66B
FCF Margin	n/a	3.7%	19.3%	8.8%

Valuation cross-check

P/S ~15x

DCF Base $105.25 vs $112.41 (-6.4%)

Reverse DCF implies 36% CAGR

The model says fair value, not a discount, and the implied growth bar is high.

CRWD ~40x P/S

PANW ~28x P/S

RBRK ~14.5x on ~46% growth

Cheapest growth-adjusted multiple in the AI-cyber set, far below CrowdStrike and Palo Alto on similar or faster growth.

IPO Apr 2024 at $32

52wk range $42.25-$127.90

Short public history; up ~250% from IPO but trading below the $128 recent high after two sell-the-news reactions.

What to monitor

Dec 2026. Q3 FY27 Earnings (Positive): $429-431M revenue guide implies 31% normalized growth. Test of whether ARR momentum holds as migrations tailwind fades.

FY27. Identity & Agent Cloud Scale (Positive): Identity hit $20M ARR in 3 quarters; Agent Cloud has 15+ paying customers. New product legs are the upside lever.

CASCADIA ANALYTICS

Jan 2027. FY2028 Outlook (Two-Sided): First full guide after the migration tailwind fully rolls off. Reported revenue growth faces a material-rights headwind.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2023	$600M	$418M	$-262M	$-235M
2024	$628M	$483M	$-307M	$-273M
2025	$887M	$621M	$-1.1B	$-1.1B
2026	$1.3B	$1.1B	$-345M	$-272M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2023	$769M	$1.9B	$-1.1B	$136M
2024	$874M	$2.3B	$-1.4B	$130M
2025	$1.4B	$2.0B	$-554M	$186M
2026	$2.8B	$3.3B	$-520M	$380M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2023	$19M	$-34M	$172M	$-15M
2024	$-5M	$-20M	$96M	$-25M
2025	$48M	$-27M	$398M	$22M
2026	$283M	$-45M	$737M	$238M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $108.00 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 55 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 2.31% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $43.20M of sales, a net flow of -$43.20M. One-year total shareholder return is +49.1% against CEO total pay of $1.80M (Mr. Bipul Sinha), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	15 / 40	2.31% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $43.20M (21), net -$43.20M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +49.1%; Mr. Bipul Sinha, Co-Founder, CEO & Chairman, total pay $1.80M
Agency Risk Score	**55 / 100**	Regime: BALANCED / TYPICAL CORPORATE

CASCADIA ANALYTICS

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-07	Nithrakashyap Arvind	Chief Technology Officer	SELL	38,460	$4.78M
2026-10-05	Wassenaar Yvonne	Director	SELL	721	$85.8K
2026-09-10	Nithrakashyap Arvind	Chief Technology Officer	SELL	38,460	$3.49M
2026-09-03	Wassenaar Yvonne	Director	SELL	721	$64.5K
2026-09-01	Thompson John Wendell	Director	SELL	13,500	$1.20M
2026-08-24	Choudary Kiran Kumar	Chief Financial Officer	SELL	10,000	$983.2K
2026-08-05	Nithrakashyap Arvind	Chief Technology Officer	SELL	38,460	$3.05M
2026-08-03	Thompson John Wendell	Director	SELL	13,500	$1.00M

SEC proxy audit, DEF 14A filed 2026-04-15

Alignment grade C. PAY INCREASE (+6.9%). Bipul Sinha, fiscal 2026 vs fiscal 2025; total compensation change year on year: +6.9%.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$620,000	$0	$609,027	$0

The CEO’s compensation rose primarily due to a 7.8% base salary increase and a full target bonus payout, while no equity awards were granted. The Compensation Committee justified the pay hike with market data and a focus on retaining talent, but the lack of equity dilutes alignment with long-term shareholder value. Accountability to TSR remains limited because the CEO’s total compensation is largely cash-based.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1943896/000194389626000034/rbrk-20260415.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Material-Rights Headwind

CFO flagged that the sharp drop in material-rights revenue is a meaningful headwind to reported revenue growth for FY27.

Migration Tailwind Fading

The legacy-to-cloud migration run is wrapping up this year, which will make cloud net-new ARR comparisons tougher going forward.

Dilution & SBC

Heavy stock-based compensation drove a $1.15B GAAP loss in FY25 and negative equity; share count keeps inflating and diluting holders.

Sell-the-News Pattern

Shares have sold off after multiple beats (Q1 and Q2 FY27), and the stock trades 12% below its 52-week high with elevated beta.

The strengths

Operating Quality

81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.

Recent Trend

ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.

Forward Growth

FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.

Valuation

DCF base $105.25 sits 6.4% below the $112.41 price, and the reverse DCF implies a demanding 36% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.

Cascadia scorecard

Composite score 69: Attractive. Confidence High, as of 17-Oct-2026.

CASCADIA ANALYTICS

PILLAR	RATIONALE	SCORE
Operating Quality	81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.	74
Recent Trend	ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.	82
Forward Growth	FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.	76
Valuation	DCF base $105.25 sits 6.4% below the $112.41 price, and the reverse DCF implies a demanding 36% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.	52
Catalysts & Risk	Q3 print in December and Identity/Agent Cloud scaling are near-term positives. Risks: sell-the-news after beats, 27% share-count inflation from SBC, and the migration comp gets harder. Slight positive skew.	62

Investment view

A Q3 FY27 miss on ARR or NRR slipping below 115% would cut Trend and Forward Growth. Conversely, Identity and Agent Cloud scaling faster than expected could make the bull case ($146.56) reachable.

Investment view: Hold. The $108.00 blended target implies -6%, balancing the $74.37 / $105.42 / $146.80 Bear / Base / Bull outcomes.

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